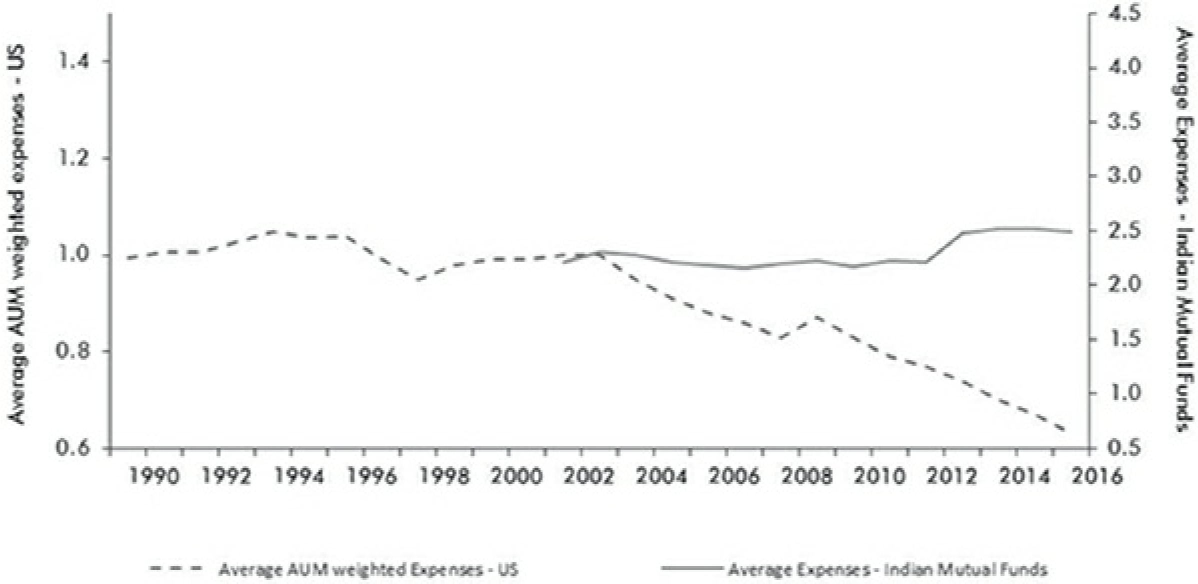
Exhibit 21: Equity mutual fund expenses in the US and India



Source: Morningstar, Investment Company Institute, AMFI, Ambit Capital. US data is asset weighted average of Equity MFs. India data is average of all existing open-ended diversified Equity MFs.

Part of the reason why expenses have remained high in India is that so far it has been easy for the funds to get away with high expenses. Funds have managed to generate significant outperformance in India, especially in bull markets, which has meant high returns, net of fees, for the investors. For example, between July 2003 and January 2008, the leading mutual funds in India gave compounded annualized returns of 58 per cent compared to 48 per cent from the Sensex. Those years were the golden period for mutual funds as well as the distribution industry.

Reminiscing about that era, a veteran private banker told us, ‘Money was pouring in from everywhere. The funds used to charge 2.25 per cent as upfront expense, all of which went straight to the distributors who sold those funds to investors. There was also an exit load. With the markets moving up on almost a daily basis, relationship managers were churning portfolios like mad, citing profit booking as the grounds for moving investors from one fund